counterparties, as measured by the timeliness and accuracy of its outgoing calls and response time to incoming calls. Banks must have collateral management policies in place to control, monitor and report:

- the risk to which margin agreements exposes them (such as the volatility and liquidity of the securities exchanged as collateral),
- the concentration risk to particular types of collateral,
- the reuse of collateral (both cash and non-cash) including the potential liquidity shortfalls resulting from the reuse of collateral received from counterparties, and
- the surrender of rights on collateral posted to counterparties.

Revise text to establish standard supervisory haircuts for securitisation collateral

111. To implement the supervisory haircuts for securitisation collateral, a new paragraph 145(i) will be inserted into the Basel text and paragraph 151 will be revised as follows:

145(i). Re-securitisations (as defined in the securitisation framework), irrespective of any credit ratings, are not eligible financial collateral. This prohibition applies whether the bank is using the supervisory haircuts method, the own estimates of haircuts method, the repo VaR method or the internal model method.

151. These are the standardised supervisory haircuts (assuming daily mark-to-market, daily remargining and a 10-business day holding period), expressed as percentages:

Issue rating for debt securities	Residual Maturity	Sovereigns	Other Issuers	Securitisation Exposures
AAA to AA-/A-1	<1 year	0.5	1	2
	>1 year <5 years	2	4	8
	> 5 years	4	8	16
A+ to BBB-/	<1 year	1	2	4
A-2/A-3/P-3 and	>1 year <5 years	3	6	12
unrated bank securities	> 5 years	6	12	24
BB+ to BB-	All	15	Not Eligible	Not Eligible
main index equities	15			
other equities	25			
UCITS/mutual funds	Highest haircut applicable to any security in fund			
Cash in the same currency	0			

(The footnotes associated with the table are not included. However, securitisation exposures would be defined as those exposures that meet the definition set forth in the securitisation framework.)

Treatment of highly leveraged counterparties

112. The Committee believes it is appropriate to add a qualitative requirement indicating that the PD estimates for highly leveraged counterparties should reflect the performance of their assets based on a stressed period and, thus, is introducing a new paragraph after 415 of the framework to read as follows: